

Downward trend. A downward price trend is usually where you will see pipe bottoms, at least the best performing ones. Price moves down, reaches the pipe bottom, then turns around and starts climbing. [Figures 49.1](#) and [49.2](#) are good examples of this behavior.

Wait for confirmation. The pipe confirms as a valid pattern when price closes above the taller of the two peaks in the pipe, which usually takes 2 to 3 weeks to occur. That interval gives enough time for the pattern to show good visibility on the right side of the pipe, meaning that it should look like a well-defined pipe with price rising after the pattern ends.

Even if you miss the breakout, consider trading this pattern. You have an average of 3 to 6 months (from [Table 49.2](#)) before price peaks, and with gains averaging 54% in bull markets you should still have plenty of profit opportunity.

Buy. Once you have identified a confirmed pipe bottom on the weekly scale, buy the stock. Since a stock will often retest the most recent low before starting on a sustained journey upward, be prepared for it.

Stop location. Place a stop-loss order half a point (to allow room for the retest to drift below the pipe low) below the lowest pipe (but use your best judgment, depending on the price of the stock, of course). If the stock hits the stop, then price is probably going to continue down. In such a case, close out your position and send a letter home to Mom asking for more money.

[Table 49.11](#) shows one feature of pipes with a performance difference worth noting.

I measured the price difference between the bottoms of the two spikes in the pipe and divided by the breakout price. The median difference was small, as one would expect (1% or 2%).

If the difference was greater than the median, the pipe tended to outperform in both bull and bear markets, which is reassuring.